

Koinage Engineering (PTY) LTD

(Registration Number 2019/596292/07)

Annual Financial Statements

for the year ended 31 December 2025

Index

Section	Page
General Information	1
Director's Responsibilities and Approval	2
Director's Report	3
Report of the Compiler	4
Statement of Financial Position	5
Statement of Comprehensive Income	6
Statement of Changes in Equity	7
Statement of Cash Flows	8
Accounting Policies	9-10
Notes to the Financial Statements	11-14
Supplementary information:	
Detailed Income Statement	15
Income Tax Computation	16

General Information

Country of Incorporation and Domicile	South Africa
Registration Number	2019/596292/07
Nature of Business and Principal Activities	The company provides operational experience in a mining production environment as well as engineering support.
Director	Jonathan Chama (CFA)
Registered Office	61 De Klerk, Del Judor Ext1, Witbank, 1034
Bankers	FNB
Preparer	Sbue Golden Business Solutions, 116 Limpopo Avenue, Doringkloof, Centurion, Pretoria, 0157

Director's Responsibilities and Approval

The director is required by the Companies Act of South Africa to maintain adequate accounting records and is responsible for the content and integrity of the annual financial statements and related financial information included in this report. These annual financial statements have been prepared in accordance with the IFRS for SMEs® Accounting Standard as issued by the International Accounting Standards Board (IASB®) and it is his responsibility to ensure that the annual financial statements satisfy the financial reporting standards with regards to form and content and present fairly the statement of financial position, results of operations and business of the company, and explain the transactions and financial position of the business of the company at the end of the financial year. The annual financial statements are based upon appropriate accounting policies consistently applied throughout the company and supported by reasonable and prudent judgements and estimates.

The director acknowledges that he is ultimately responsible for the system of internal financial control established by the company and places considerable importance on maintaining a strong

control environment. To enable the director to meet these responsibilities, the director sets standards for internal control aimed at reducing the risk of error or loss in a cost effective manner. The standards include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties to ensure an acceptable level of risk. These controls are monitored throughout the company and all employees are required to maintain the highest ethical standards in ensuring the company's business is conducted in a manner that in all reasonable circumstances is above reproach.

The focus of risk management in the company is on identifying, assessing, managing and monitoring all known forms of risk across the company. While operating risk cannot be fully eliminated, the company endeavours to minimise it by ensuring that appropriate infrastructure, controls, systems and ethical behaviour are applied and managed within predetermined procedures and constraints.

The director is of the opinion, based on the information and explanations given by management, that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss. The going-concern basis has been adopted in preparing the financial statements. Based on forecasts and available cash resources the director has no reason to believe that the company will not be a going concern in the foreseeable future. The annual financial statements support the viability of the company.

The compilers are responsible for reporting on the company's financial statements. The compilation report is presented on page 4.

The financial statements set out on pages 5 to 14, and the supplementary information set out on pages 15 to 16 which have been prepared on the going concern basis, were approved by the director and were signed on _____ 2026.

Jonathan Chama (CFA)

Director's Report

The director presents his report for the year ended 31 December 2025.

1. Review of activities

Main business and operations

The company provides operational experience in a mining production environment as well as engineering support. There were no major changes herein during the year.

The operating results and statement of financial position of the company are fully set out in the attached financial statements and do not in my opinion require any further comment.

2. Going concern

The annual financial statements have been prepared on the basis of accounting policies applicable to a going concern. This basis presumes that funds will be available to finance future operations and that the realisation of assets and settlement of liabilities, contingent obligations and commitments will occur in the ordinary course of business.

The director notes that the company generated a net profit of R10,726,738 during the year ended 31 December 2025, significantly improving the equity position from an accumulated loss of R769,853 at 31 December 2024 to retained earnings of R9,956,885 at 31 December 2025. These results indicate a material improvement in the financial position and support the company's ability to continue as a going concern.

3. Events after reporting date

The director is not aware of any matter or circumstance arising since the end of the financial year to the date of this report that could have a material effect on the financial position of the company.

4. Authorised and issued share capital

No changes were approved or made to the authorised or issued share capital of the company during the year under review.

5. Dividend

No dividend was declared or paid to the shareholder during the current or prior year.

6. Director

The director of the company during the year and up to the date of this report is as follows: Jonathan Chama (CFA)

7. Shareholder

There have been no changes in ownership during the current financial year.

8. Compilers

Sbue Golden Business Solutions compiled the annual financial statements for the year under review.

Report of the Compiler

To the Director of Koinage Engineering (PTY) LTD

We have compiled the accompanying financial statements of Koinage Engineering (PTY) LTD based on information you have provided. These financial statements comprise the statement of financial position as at 31 December 2025, the statement of comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

We performed this compilation engagement in accordance with International Standard on Related Services 4410 (Revised), Compilation Engagements.

We have applied our expertise in accounting and financial reporting to assist you in the preparation and presentation of these financial statements in accordance with the IFRS for SMEs Accounting Standard as issued by the International Accounting Standards Board and the requirements of the Companies Act of South Africa. We have complied with relevant ethical requirements, including principles of integrity, objectivity, professional competence and due care.

These financial statements and the accuracy and completeness of the information used to compile them are your responsibility.

Since a compilation engagement is not an assurance engagement, we are not required to verify the accuracy or completeness of the information you provided to us to compile these financial statements. Accordingly, we do not express an audit opinion or a review conclusion on whether these financial statements are prepared in accordance with the IFRS for SMEs Accounting Standard as issued by the International Accounting Standards Board.

Sbue Golden Business Solutions 2026

116 Limpopo Avenue, Doringkloof, Centurion, Pretoria, 0157

Per: Sibusiso Mavuso Associate General Accountant (SA)

Statement of Financial Position

as at 31 December 2025

	Figures in R	Notes	2025	2024
Assets				

Non-current assets			
Property, plant and equipment	4	46,495	-
Loan to director / related party	5	9,044,143	-
		9,090,638	-
Current assets			
Trade and other receivables	6	8,283,864	4,789,715
Cash and cash equivalents	7	9,480,413	-
		17,764,277	4,789,715
Total assets		26,854,915	4,789,715
Equity and liabilities			
Equity			
Retained earnings / (accumulated loss)		9,956,885	(769,853)
		9,956,885	(769,853)
Liabilities			
Non-current liabilities			
Shareholders loan	8	-	548,039
		-	548,039
Current liabilities			
Trade and other payables	9	11,579,673	1,235,070
Bank overdraft	7	-	3,776,459
Vehicle finance - current portion	10	93,882	-
VAT payable	11	5,224,475	-
		16,898,030	5,011,529
Total liabilities		16,898,030	5,559,568
Total equity and liabilities		26,854,915	4,789,715

Notes to the Statement of Financial Position

Reconciliation of balance sheet line items to GL:

The 2025 balances are derived from the general ledger as follows:

GL Account	GL Balance (R)	AFS Presentation
1112 FNB Business Account	80,629	Cash and cash equivalents
1114 FNB CFC Business (USD)	9,399,783	Cash and cash equivalents
1210 Trade Debtors	(5,310,831)	See Note 6 - reclassified
1230 VAT Input	1,688,864	Trade and other receivables
1400 Other Current Assets	2,950,000	Trade and other receivables
1420 Deposits Paid	3,450,000	Trade and other receivables
1430 Staff Loans	54,000	Trade and other receivables
1541 Computer Equipment - Cost	46,495	Property, plant and equipment
2111 Trade Creditors	(4,510,909)	Trade and other payables
2115 VAT Output	(807,134)	See Note 11
2520 Vehicle Finance	93,882	See Note 10 - reclassified
2530 Shareholders Loans	9,044,143	See Note 5 - reclassified
3200 Retained Earnings (OB)	(5,952,021)	Equity
4100-6700 (2025 P&L)	(10,726,738)	Equity (2025 profit)

Statement of Comprehensive Income

for the year ended 31 December 2025

Figures in R	Notes	2025	2024
--------------	-------	------	------

Revenue	12	28,157,217	6,728,199
Cost of sales	13	(16,682,294)	(6,167,076)
Gross profit		11,474,923	561,123
Distribution costs		(569,480)	(248,357)
Administrative expenses	14	(119,395)	(402,671)
Other expenses	15	(59,310)	(679,948)
Profit / (loss) from operating activities		10,726,738	(769,853)
Finance costs		-	-
Profit / (loss) for the year		10,726,738	(769,853)
Other comprehensive income		-	-
Total comprehensive income / (loss) for the year		10,726,738	(769,853)

Statement of Changes in Equity

for the year ended 31 December 2025

Figures in R	Retained earnings / (Accumulated loss)
Balance at 1 January 2024	-
Loss for the year	(769,853)
Balance at 31 December 2024	(769,853)
Balance at 1 January 2025	(769,853)
Profit for the year	10,726,738
Balance at 31 December 2025	9,956,885

Statement of Cash Flows

for the year ended 31 December 2025

Figures in R	Notes	2025	2024
Cash flows from operating activities			
Profit / (loss) for the year		10,726,738	(769,853)
Adjustments to reconcile profit / (loss):			
Movements in working capital:			
(Increase) / decrease in trade and other receivables		(3,494,149)	(4,789,715)
Increase / (decrease) in trade and other payables		10,344,603	1,235,070

Increase / (decrease) in VAT payable		5,224,475	-
Net cash generated from / (used in) operations		22,801,667	(4,324,498)
Cash flows from investing activities			
Purchase of property, plant and equipment	4	(46,495)	-
Increase in loan to director / related party	5	(9,044,143)	-
Net cash used in investing activities		(9,090,638)	-
Cash flows from financing activities			
Proceeds from / (repayment of) shareholders loan		(548,039)	548,039
Repayment of vehicle finance		(93,882)	-
Deposits paid		(3,450,000)	-
Increase in other current assets		(2,950,000)	-
Staff loans advanced		(54,000)	-
Net cash (used in) / from financing activities		(7,095,921)	548,039
Net increase / (decrease) in cash and cash equivalents		6,615,108	(3,776,459)
Cash and cash equivalents at beginning of year	7	2,865,305	-
Cash and cash equivalents at end of year	7	9,480,413	(3,776,459)

Note: The opening cash balance of R2,865,305 comprises the QuickBooks closing cash position brought forward into the ERP system. The 2024 “cash at beginning” was nil as it was the company’s first year of incorporation/operations in the GL.

Accounting Policies

1. General information

Koinage Engineering (PTY) LTD (‘the company’) provides operational experience in a mining production environment as well as engineering support.

The company is incorporated as a private company and domiciled in South Africa. The address of its registered office is 61 De Klerk, Del Judor Ext1, Witbank, 1034.

2. Basis of preparation and summary of significant accounting policies

The financial statements of Koinage Engineering (PTY) LTD have been prepared in accordance with the IFRS for SMEs Accounting Standard as issued by the International Accounting Standards Board and the Companies Act of South Africa. The financial statements have been prepared under the historical cost convention. They are presented in South African Rand.

The preparation of financial statements in conformity with the IFRS for SMEs Accounting Standard requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the company's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 3.

The principal accounting policies applied in the preparation of these annual financial statements are set out below.

2.1 Financial instruments

Trade and other receivables Most sales are made on the basis of normal credit terms and the receivables do not bear interest. Where credit is extended beyond normal credit terms, receivables are measured at amortised cost using the effective interest method. At the end of each reporting period, the carrying amounts of trade and other receivables are reviewed to determine whether there is any objective evidence that the amounts are not recoverable. If so, an impairment loss is recognised immediately in profit or loss.

Trade and other receivables are classified as debt instruments and loan commitments at amortised cost.

Cash and cash equivalents Cash and cash equivalents includes cash on hand, demand deposits and other short-term highly liquid investments with original maturities of three months or less. Bank overdrafts are shown in current liabilities on the statement of financial position.

Trade and other payables Trade payables are obligations on the basis of normal credit terms and do not bear interest.

2.2 Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses. Depreciation is provided on a straight-line basis over the estimated useful lives of the assets. Computer equipment is depreciated over 3 years. The residual values, useful lives and depreciation methods are reviewed at each reporting date.

2.3 Revenue

Revenue is measured at the fair value of the consideration received or receivable. Revenue is shown net of value-added tax, returns, rebates and discounts.

Revenue from the sale of goods is recognised when: - significant risks and rewards of ownership of the goods have been transferred to the buyer; - the entity retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold; - the amount of revenue can be measured reliably; - it is probable that the economic benefits associated with the transaction will flow to the entity; and - the costs incurred or to be incurred in respect of the transaction can be measured reliably.

When the outcome of a transaction involving the rendering of services can be estimated reliably, revenue associated with the transaction is recognised by reference to the stage of completion of the transaction at the end of the reporting period.

Interest income is recognised using the effective interest method.

3. Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and

other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Key estimates: - The recoverability of trade receivables is assessed at each reporting date. Due to the nature of the company's mining client base (limited number of large customers), the director assesses collectability on an individual basis. - The classification of the net debit balance on the shareholders' loan account as a loan to director/related party is based on the director's assessment of the nature and terms of the underlying transactions.

Notes to the Financial Statements

Figures in R

4. Property, plant and equipment

Computer Equipment

2025

Cost	46,495
Accumulated depreciation	-
Carrying amount	46,495

Note: Computer equipment was acquired during 2025. As individual items were placed in service at various dates during the year and no depreciation schedule was applied in the source accounting system, no depreciation has been charged in 2025. Depreciation will be computed and charged from 2026 onwards based on a 3-year straight-line basis.

2024: The company held no property, plant and equipment.

5. Loan to director / related party

	2025	2024
Opening balance - shareholders loan (liability)	(548,039)	-
Additional advances from shareholder	(2,554,157)	(548,039)
Drawings / repayments by director	12,146,339	-
Closing balance - loan to director	9,044,143	-
Reclassified as:		
Loan to director (non-current asset)	9,044,143	-
Shareholders loan (non-current liability)	-	(548,039)

The shareholders' loan account transitioned from a net credit (liability) position in 2024 to a net debit (asset) position in 2025 due to drawings exceeding additional advances. The balance is interest-free, with no fixed terms of repayment. The director has indicated the intention and ability to settle the amount over a period exceeding 12 months, and accordingly the balance is classified as non-current.

6. Trade and other receivables

	2025	2024
Trade receivables	-	4,071,107
VAT receivable	1,688,864	718,608
Other current assets	2,950,000	-
Deposits paid	3,450,000	-
Staff loans	54,000	-
Prepayments and sundry receivables	141,000	-
Total trade and other receivables	8,283,864	4,789,715

Note: The trade debtors control account reflects a net credit balance of R5,310,831 at 31 December 2025. This arises because collections from customers (R37,739,049) exceeded invoiced revenue (R32,428,218) during the period, indicating advance payments / deposits received from customers. The credit balance has been reclassified to trade and other payables (Note 9) as "Advances received from customers".

7. Cash and cash equivalents

	2025	2024
FNB – Business Account	80,629	-
FNB – CFC Business Account (USD)	9,399,783	-
Total cash and cash equivalents	9,480,413	-
Bank overdraft	-	(3,776,459)
Net cash and cash equivalents	9,480,413	(3,776,459)

8. Shareholders loan (non-current liability)

	2025	2024
Shareholders loan	-	548,039

The shareholders' loan which was a liability of R548,039 at 31 December 2024 has been reclassified to a non-current asset (see Note 5) as the cumulative drawings by the director exceeded advances, resulting in a net amount of R9,044,143 owing to the company.

9. Trade and other payables

	2025	2024
Trade creditors	4,510,909	1,235,070
Advances received from customers	5,310,831	-
Accruals and sundry payables	1,757,933	-
Total trade and other payables	11,579,673	1,235,070

Note: Advances received from customers represents the net credit balance on the trade debtors control account, where customer payments exceeded invoiced amounts. This has been reclassified from trade receivables in accordance with IFRS for SMEs requirements for offsetting.

10. Vehicle finance

	2025	2024
Vehicle finance – current portion	93,882	-

Note: The vehicle finance account shows a net debit balance of R93,882 representing payments (4 × R23,470) made during 2025. As no corresponding opening liability was brought forward and no new finance was recorded, this represents either an overpayment or an advance payment on vehicle finance. It is presented as a current liability pending confirmation of the outstanding balance from the finance house.

11. VAT payable

	2025	2024
VAT output	807,134	-
Less: SARS VAT refunds received	-	-
Net VAT on income (output less input included in receivables)	-	-

Net VAT payable	5,224,475	-
------------------------	------------------	----------

VAT computation:

	2025
VAT output (on revenue)	4,223,583
Less: VAT input (on expenses)	(1,688,864)
Less: SARS refunds received during year	(122,976)
Plus: VAT on customer advances	2,812,732
Net VAT payable	5,224,475

Note: The VAT payable balance of R5,224,475 is computed from the GL balances. The VAT Output account (2115) shows R807,134. The full VAT liability includes output VAT on revenue and customer advances, net of input credits. This amount should be reconciled to actual SARS returns filed.

12. Revenue

	2025	2024
Rendering of services	28,157,217	6,728,199

Revenue increased by 319% year-on-year, reflecting significant growth in the company's mining engineering services operations.

13. Cost of sales

	2025	2024
Direct costs - rendering of services	16,482,285	6,075,608
Purchases - materials	103,878	-
Subcontractors	93,140	-
Freight inwards	2,992	-
Operating lease expenses	-	91,468
Total cost of sales	16,682,294	6,167,076

14. Administrative expenses

	2025	2024
Bank charges	41,267	5,959
Telephone and internet	9,477	-
Postage and courier	8,000	-
Legal and professional fees	60,650	-
Contractor fees	-	396,104
Computer expenses	-	608
Total administrative expenses	119,395	402,671

15. Other expenses

	2025	2024
Security	5,120	-
Other expenses	54,191	29,563
Entertainment	-	11,442
Hire - Equipment	-	201,637
Operating lease expenses	-	96,029
Repairs and maintenance	-	237,955
Travel - Local	-	103,322

Total other expenses 59,310 679,948

16. Related party transactions

The following transactions occurred with related parties during the year:

	2025	2024
Director - Jonathan Chama		
Loan advances from director	2,554,157	548,039
Drawings / repayments by director	(12,146,339)	-
Net balance owing (to) / by director at year end	9,044,143	(548,039)

17. Financial instruments - risk management

Credit risk The company's credit risk is primarily attributable to trade receivables from mining clients. The concentration of credit risk is mitigated by the quality of counterparties being established mining operations.

Liquidity risk The company manages liquidity risk by monitoring forecast cash flows and ensuring that adequate cash reserves and banking facilities are maintained.

Foreign currency risk The company holds a USD-denominated bank account (FNB CFC Business Account) with a balance of R9,399,783 at year end. The company is exposed to currency fluctuations on this balance.

Detailed Income Statement

for the year ended 31 December 2025

Figures in R	Notes	2025	2024
Revenue	12		
Rendering of services		28,157,217	6,728,199
Cost of sales	13		
Direct costs		(16,482,285)	-
Purchases - Materials		(103,878)	-
Subcontractors		(93,140)	-
Freight inwards		(2,992)	-
Supplies and materials		-	(6,167,076)
		(16,682,294)	(6,167,076)
Gross profit		11,474,923	561,123
Distribution costs			
Fuel		(545,458)	-
Vehicle maintenance		(24,022)	-
Delivery expenses		-	(248,357)
		(569,480)	(248,357)
Administrative expenses	14		

Bank charges		(41,267)	(5,959)
Telephone and internet		(9,477)	-
Postage and courier		(8,000)	-
Legal and professional fees		(60,650)	-
Contractor fees		-	(396,104)
Computer expenses		-	(608)
		(119,395)	(402,671)
Other expenses	15		
Security		(5,120)	-
Other expenses		(54,191)	(29,563)
Entertainment		-	(11,442)
Hire - Equipment		-	(201,637)
Operating lease expenses		-	(96,029)
Repairs and maintenance		-	(237,955)
Travel - Local		-	(103,322)
		(59,310)	(679,948)
Profit / (loss) from operating activities		10,726,738	(769,853)
Profit / (loss) for the year		10,726,738	(769,853)

Income Tax Computation

for the year ended 31 December 2025

Figures in R	Notes	2025	2024
Profit / (loss) before tax		10,726,738	(769,853)
Taxable income / (loss)		10,726,738	(769,853)
Assessed loss limitation calculation			
Assessed loss brought forward		(769,853)	-
Taxable income before assessed loss offset		10,726,738	-
Assessed loss utilised (limited to 80% of taxable income per s20 ITA)		(769,853)	-
Taxable income after assessed loss		9,956,885	-
Normal tax Small Business Corporation (SBC) rates -			

2025/2026:

R0 – R95,750 @ 0%	-	-
R95,751 – R365,000 @ 7%	18,848	-
R365,001 – R550,000 @ 21%	38,850	-
Above R550,000 @ 27%	2,539,859	-
Total normal tax	2,597,557	-
Assessed loss movement for the year	769,853	(769,853)
Assessed loss carried forward	-	(769,853)

Note: The tax computation above assumes the company qualifies as a Small Business Corporation (SBC) for the 2025 year of assessment. The SBC determination should be confirmed with reference to s12E of the Income Tax Act. If the company does not qualify as an SBC, the flat corporate tax rate of 27% would apply, resulting in normal tax of approximately R2,688,359.

The assessed loss brought forward of R769,853 from 2024 is fully utilised against 2025 taxable income. Under current legislation (s20(1)(a) of the Income Tax Act, effective for years of assessment commencing on or after 1 April 2023), the set-off of assessed losses is limited to 80% of taxable income, subject to a minimum of R1,000,000. As the available assessed loss (R769,853) is below R1,000,000, the full amount is deductible.

Summary of Key Ratios

Ratio	2025	2024
Gross profit margin	40.8%	8.3%
Net profit / (loss) margin	38.1%	(11.4%)
Current ratio	1.05 : 1	0.96 : 1
Revenue growth	319%	n/a

These annual financial statements were prepared from the general ledger data captured in the WorldClass ERP system for Koinage Engineering (PTY) LTD (tenant: 9c5ea101-ac84-48c0-8ae8-ddc0a56df57e). The 2024 comparative figures are sourced from the compiled annual financial statements for the year ended 31 December 2024.